

CHAPTER ONE

INTRODUCTION TO THE FIELD OF ORGANIZATIONAL BEHAVIOR

Definition, Historical Development, and Scope of OB

Organizational behavior (often abbreviated as OB) is a field of study that investigates the impact that individuals, groups, and structure have on behavior within organizations for the purpose of applying such knowledge toward improving an organization's effectiveness. That's a lot of words, so let's break it down.

Organizational behavior is **a field of study**. That statement meant that it is a distinct area of expertise with a common body of knowledge. By saying that OB is a field of study, we mean that scholars have been accumulating a distinct knowledge about behavior within organizations.

What does it study?

It studies three determinants of behavior in organizations: individuals, groups, and structure. In addition, OB applies the knowledge gained about individuals, groups, and the effect of structure on behavior in order to make organizations work more effectively.

To sum up the above definition, ***OB is concerned with the study of what people do in an organization and how that behavior affects the performance of the organization.*** And because OB is specifically concerned with employment-related situation you should not be surprised to find that it emphasizes behavior as related to jobs, work, absenteeism, employment turnover, productivity, human performance, and management.

Scope of Organizational Behavior

There is increasing agreement as to the components or topics that constitute the subject area of OB. Although there is still considerable debate as to the relative importance of each, there appears to be general agreement that OB includes the core topics of structure and processes, learning, attitude development and perception, change processes, conflict, work design, and work stress.

The study of **Organizational Behavior** facilitates the process of **explaining, understanding, predicting, maintaining, and changing** employee **behavior** in an organizational setting. The value of organizational behavior is that it isolates important aspects of the manager's job and offers specific perspective on the human side of management:

- ✓ people as organizations,
- ✓ people as resources, and
- ✓ People as people.

In other words, it involves the understanding, prediction and control of human behavior and factors affecting their performance and interaction among the organizational members. And because organizational behavior is concerned specifically with employment – related situations, you should not be surprised to find that it emphasizes behavior as related to concerns such as jobs, work, absenteeism, employment turnover, productivity, human performance and management.

Historical Development

By most estimates, OB emerged as a distinct field around 1940s. However, its origins can be traced much further back in time. Plato, the Greek Philosopher, wrote about equity in work relationships. Another Greek philosopher, Aristotle, spoke about the elements of persuasive communication. The writings of the 16-th century Italian philosopher Niccolo Machiavelli laid the foundation for contemporary work on organizational power and politics. In 1776, Adam Smith advocated a new form of organizational structure based on the division of labor. One hundred years later, German Sociologist, Max Weber wrote about rational organizations and initiated discussions of charismatic leadership. Soon after, Frederick Winslow Taylor introduced the systematic use of goal setting and rewards to motivate employees. In the 1920s, productivity studies at Western Electric's Hawthorne plant reported that an informal organization –employees usually interacting with each other operates alongside the formal organization.

Interdisciplinary Influences: Contributing Disciplines to the field of OB

Organization behavior is an applied behavioral science that is built upon contributions from a number of behavioral disciplines. The predominant areas are psychology, sociology, social psychology, anthropology, and political science. As we shall learn, psychology's contributions

have been mainly at the individual or micro level of analysis, while the other four disciplines have contributed to our understanding of macro concepts such as group processes and organization.

Psychology

Psychology is the science that seeks to measure, explain, and sometimes change the behavior of humans and other animals. Psychologists concern themselves with studying and attempting to understand individual behavior. Those who have contributed and continue to add to the knowledge of OB are learning theorists, personality theorists, counseling psychologists, and, most important, industrial and organization psychologists.

Early industrial and organization psychologists concerned themselves with problems of fatigue, boredom, and other factors relevant to working conditions that could impede efficient work performance. More recently, their contributions include training, leadership effectiveness, needs and motivational forces, job satisfaction, decision-making processes, performance appraisals, attitude measurement, employee selection techniques, work design, and job stress.

Sociology

Whereas psychologists focus their attention on the individual, sociologists study the social system in which individuals fill their roles; that is, sociology studies people in relation to their fellow human beings. Specifically, sociologists have made their greatest contribution to OB through their study of group behavior in organizations, particularly formal and complex organizations. Some of the areas within OB that have received valuable input from sociologists are group dynamics, design of work teams, organizational culture, formal organization culture, formal organization theory and structure, organizational technology, communications, power, and conflict.

Anthropology

Anthropology is the study of societies to learn about human beings and their activities. Anthropologists' work on cultures and environments, for instance, has helped us understand differences in fundamental values, attitudes, and behavior among people in different countries and within different organization. Much of our current understanding of organizational culture,

organizational environments, and difference among national cultures is the result of the work of anthropologists or those using their methodologies.

Political Science

Although frequently overlooked, the contributions of political scientists are significant to the understanding of behavior in organizations. *Political science* studies the behavior of individuals and groups within a political environment. Specific topics of concern here include structuring of conflict, allocation of power, and how people manipulate power for individual self-interest.

Other disciplines contributing to the field of OB

Engineering

Engineering is the applied science of energy and matter. Engineering has made important contributions to our understanding of the design of work. By taking basic engineering ideas and applying them to human behavior in work organizations, Frederick Taylor had a profound influence on the early years of the study of organization behavior. Taylor's engineering background led him to place special emphasis on human productivity and efficiency in work behavior. His notions of performance standards and differential piece-rate systems contributed to a congressional investigation into scientific management at the behest of organized labor. Taylor was ahead of his times in many ways, and his ideas were often controversial during his lifetime. However, the application of his original ideas is embedded in organizational goal-setting programs, such as at Back and Decker, IBM, and Weyerhaeuser. Even the notions of *stress* and *strain* have their origins in the lexicon of engineering.

Management

Management originally called administrative science is a discipline concerned with the study of overseeing activities and supervising people in organizations. It emphasizes the design, implementation, and management of various administrative and organizational systems. March and Simon take the human organization as their point of departure and concern themselves with the administrative practices that will enhance the effectiveness of the system. Management is the

first discipline to take the modern corporation as the unit of analysis, and this viewpoint distinguishes the discipline's contribution to the study of organizational behavior.

Challenges and Opportunities for OB

Understanding organizational behavior has never been more important for managers. A quick look at a few of the dramatic **changes** now taking place in organizations supports this claim. For instance, the typical employee is getting older; more and the heavy use of temporary workers are severing the bonds of loyalty that historically tied many employees to their employers; and global competition is requiring employees to become more flexible and to learn to cope with rapid change. In short, there are a lot of challenges and opportunities today for managers to use OB concepts. In this section, we review some of the more critical issues confronting managers for which OB offers solutions-or at least some meaningful insight toward solutions.

Responding to Globalization

Organizations are no longer constrained by national borders. Burger king is owned by a British firm, and McDonald's sells hamburgers in Moscow. Exxon, a so-called American company, receives almost 75 percent of its revenues from sales outside the United States. Toyota makes cars in Kentucky; General Motors makes cars in Brazil; and Ford (which owns part of Mazda) transfers executives from Detroit to Japan to help Mazda manage its operations. These examples illustrate that the world has become a global village. In turn, managers have to become capable of working with people from different cultures.

Globalization affects a manager's people skills in at least two ways. First, if you're a manager, you're increasingly likely to find yourself in a foreign assignment. You may be transferred to your employer's operating division or subsidiary in another country. Once there, you'll have to manage a workforce that is likely to be very different in needs, aspirations, and attitudes from the ones you were used to back home. Second, even in your own country, you're going to find yourself working with bosses, peers, and other employees who were born and raised in different cultures. What motivates you may not motivate them and how to adapt you management style to their differences.

Managing Workforce Diversity

One of the most important and broad-based challenges currently facing organizations is adapting to people who are different. The term used describing this challenge is workforce diversity. Whereas ***globalization*** focuses on differences among people from different countries, ***workforce diversity***, addresses differences among people within given countries.

Workforce diversity means that organizations are becoming more heterogeneous in terms of gender, race, and ethnicity. But the term encompasses anyone who varies from the so-called norm. In addition to the more obvious groups-women, African Americans, Hispanic Americans, Asia Americans-it also include the physically disabled, gays and lesbians, and the elderly. Moreover, it's an issue in Canada, Australia, South Africa, Japan, and Europe as well as the United states. Managers in Canada and Australia, for instance, have to adjust to large influxes of Asian workers. The "new" South Africa will increasingly be characterized by blacks holding important technical and managerial jobs. Women, long confined to low-paying temporary jobs in Japan, are moving into managerial positions. And the creation of the European Union cooperative trade arrangement, which opened up borders throughout much of western Europe, has increased workforce diversity in organizations that operate in countries such as Germany, Portugal, Italy, and France.

Managers used to take a melting-pot approach to differences in organizations, assuming people who were different would somehow automatically want to assimilate. But we now recognize that employees don't set aside their cultural and lifestyle preferences when they come to work. The challenge for organizations, therefore, is to make themselves more accommodating to diverse groups of people by addressing their different lifestyles, family needs, and work styles. The melting-pot assumption is being replaced by one recognizes and values differences.

Improving Quality and Productivity

Managers are confronting the challenges of quality. They have to improve their organization's productivity and the quality of the products and services they offer. Toward the goal of

improving quality and productivity, they are implementing programs such as total quality management and reengineering-programs that require extensive employee involvement.

Total quality management (TQM) is a philosophy of management that is driven by the constant attainment of customer satisfaction through the continuous improvement of all organizational processes. TQM has implications for OB because it requires employees to rethink what they do and become more involved in workplace decisions. In times of rapid and dramatic change, it's sometimes necessary to approach improving quality and productivity from the perspective of "How would we do things around here if we were starting over from scratch?" That, in essence, is the approach of reengineering. Contemporary managers understand that, for any effort to improve quality and productivity to succeed, it must include their employees. These employees will not only be a major force in carrying out changes but increasingly will participate actively in planning them. OB offers important insights into helping managers work through those changes.

Improving People Skills

You recognize that people skills are important to managerial effectiveness. As you proceed through this material, we'll present relevant concepts and theories that can help you explain and predict the behavior of people at work. In addition, you'll also gain insights into specific people skills that you can use on the job. For instance, you'll learn a variety of ways to motivate people, and how to create more effective teams.

The Organizational System

A complete understanding of organizational behavior requires both an understanding of human behavior and an understanding of the organizational context within which human behavior is acted out. The organizational context is the specific setting within which organizational behavior is enacted. This section discusses several aspects of this organizational context and includes specific organizational examples. First, organizations are presented as systems. Second, the formal and informal organization is discussed.

Organizations as Systems

Just as two different perspectives offer complementary explanations for human behavior, two other perspectives offer complementary explanations of organizations. Organizations are systems of interacting components, which are people, task, technology, and structure. These internal components also interact with components in the organization's environment. Organizations as open system have people, technology, structure, and purpose, which interact with element in the organization's environment.

What, exactly, **is an organization?** The corporation is the dominant organizational form for much of the twentieth-century western world, but other organizational forms have dominated other times and societies. Some societies have been dominated by religious organizations, such as the temple corporations of ancient Mesopotamia and the churches in colonial America. Other societies have been dominated by military organizations, such as the clans of the Scottish Highlands and the regional armies of the People's Republic of China. All these societies are woven together by family organizations, which themselves may vary from nuclear and structure of the religious, military, and family organizational forms may vary, but people's behavior in these organizations may be very similar. In fact, early discoveries about power and leadership were remarkably similar within families. Organizations may manufacture products, such as aircraft competence or steel, or deliver services, such as managing money or providing insurance protection. To understand how organizations do these things requires an understanding of the open system components of the organization and the components of its task environment.

Open and Closed Systems

A **system** is commonly defined as a group of interacting units or elements that have a common purpose. The units or elements of a system can be cogs, wires, people, computers, and so on. Systems are generally classified as **open systems** and **closed systems** and they can take the form of **mechanical, biological, or social systems**. *Open systems refer to systems that interact with other systems or the outside environment*, whereas *closed systems refer to systems having relatively little interaction with other systems or the outside environment*. For example, living organisms are considered open systems because they take in substances from their environment such as food and air and return other substances to their environment. Humans, for example,

inhale oxygen out of the environment and exhale carbon dioxide into the environment. Similarly, some organizations consume raw materials in the production of products and emit finished goods and pollution as a result. In contrast, a watch is an example of a closed system in that it is a relatively self-contained, self-maintaining unit that has little interacts or exchange with its environment.